

ICE OR EV: Electronics Have Become The Central Thread

Is the end of the era of internal combustion engine-powered cars imminent? With this transition, what implications does it have for the component manufacturers serving the automotive industry? Moreover, is there space for new entrants to join the fray?



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The Kia Seltos, Sonet, Carens, Tata Nexon, Safari, Harrier, and numerous other cars unveiled in 2023 showcase what the industry terms as connected lights at the rear and front. These traverse from pillar to pillar, linking the two taillights. While determining the cost at which vehicle OEMs acquire these from their suppliers is nearly impossible, the costs in the aftermarket can be easily explored, thanks to the lower-end variants of these cars.

For example, the rear connecting taillights for Maruti Fronx are available in the aftermarket, with prices starting at ₹8000. In contrast, Mahindra's Bolero Neo, accommodating seven people, comes equipped with rear lights that cost only ₹1200 per pair. And this is just the tip of the iceberg named 'automotive electronics'!

Sunil Bohra, Executive Director, Group CFO, and CEO of Safety & Comfort Systems at Uno Minda, recently shared with EFY,

"When we introduced LED headlamps, they were approximately 3x the cost of halogen ones. Today, they are considerably more expensive. Tail lamps have become more intricate and costly than headlamps. In many instances, the cost of tail lamps has surged by 8x to 10x. This escalation is a consequence of the extensive integration of electronics into these components."

"Thanks to a lot of competition in the country, evolving consumer needs, the entry of new players, and government impetus, the use of automotive electronics is on the rise in India," explains Manish Manek, Chief VLE, MG Motor India.

Manek adds, "We are far from reaching the saturation point. Various aspects such as ADAS, connected features, telematics, and more have not realised even half of their potential. All these require robust electronic support to function. Let me reiterate we are far from reaching the ceiling!"